



Broker: *“Why do you want to sell the gold? Instead, sell your stock of Pentafour. You bought it at Rs. 150 and it is now quoted at Rs. 1000.”*

Jal: *“No. That would be a loss. A couple of months ago the price was Rs. 1800.”*

Actually Jal would not lose if he were to sell the stock. But he is anchored to the price of Rs. 1800, believing the fall is temporary. What he does not realise is that Rs. 1800 is an unrealistic price and the chances of the stock returning to that price are slim. This is another reason after loss aversion that most investors hold on to losing investments.

Example 2

Husband: *“The suit I wanted to buy is on sale today. It was priced at Rs. 12000 last week. It’s now at Rs. 6000.”*

Wife: *“There are so many suits on sale. Look around, you may get a better one.”*

Husband: *“Good idea. (He looks around.) I don’t like any of them. They are expensive.”*

Wife: *“But in that range of Rs. 6000 there are so many other good suits. Look at these.”*

Husband: *“I did. They are not worth Rs. 6000. If I have to pay Rs. 6000 I would rather buy that suit. Then at least I know that I am getting a bargain at half the cost.”*

The man likes a particular suit only because he knows that it is worth Rs. 12000. He is anchored to that price and believes that only this one is a bargain. There is no anchor price on the other suits for him to think they are bargains.

Example 3

Sarosh: *“I bought this stock of Hughes Software at Rs. 700.”*

Ketan: *“I think you should sell it. The fortunes of the industry have changed.”*